

ATLAS HEAVY MACHINERY

AMC Performance & Churn Analytics

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Business Context & Objective



Business Context:

AHM sells machines via **150 dealers across West & Central India**

AMC is the only recurring revenue stream

Problem:

Declining **AMC attachment & renewal visibility**

No clarity on:

- Whether **churn is driven by fleet size, dealer, or category**
- Whether **higher sales → higher AMC revenue**

Why it matters:

37% machines sold without AMC → direct revenue loss

Weak AMC performance impacts **long-term profitability**



Sales Performance Overview



Key Observations:

- ₹1,411 Cr revenue | 4,000 units | 150 dealers
- Strong **upward trend** → **peak in Dec (539 units) / Q4 - ₹504 Cr**
- **Backhoe Loader dominates sales (1,267 units)**
- **Excavator shows sharp growth (Q2 → Q4)**
- **Revenue concentrated in:** Maharashtra (₹427 Cr) | Gujarat (₹313 Cr)

Business Interpretation:

Sales performance is strong.

However, **dependency on few categories & regions exists.**



AMC Performance Snapshot



Key Metrics:

- AMC Attachment: **62.9%**
- Renewal Rate: **79.08%**
- Churn Rate: **20.92%**
- Avg AMC Value: **₹64,843**

Key Observations:

- Renewal is relatively strong
- But **initial AMC attachment is low**
- **37% machines sold without AMC**

Business Interpretation:

- Problem is not retention alone
- **Major leakage happens at conversion stage**



Churn & Risk Drivers



Fleet Size Impact :

- Small fleet churn: **32.67%**
- Medium: **19.35%**
- Large: **7.64%**
- Very Large: **1.65%**
- Churn reduces as fleet size increases
- Small customers = **high-risk segment**

Category-Level Risk:

- Backhoe Loader:
 - Highest volume
 - Only **59% AMC attachment**
- Compactor & Skid Steer:
 - **< 45% attachment**
- High sales ≠ high AMC conversion

Dealer Impact:

- Some dealers at **approx. 28–32% conversion**
- Dealer execution significantly affects AMC revenue

Business Interpretation:

- Churn is **not random**
- Driven by **fleet size + category + dealer performance**



Revenue Impact & Statistical Findings



Regression Insight:

- $R^2 = 0.55 \rightarrow$ Sales explain only 55% of AMC revenue
- Each machine sold $\rightarrow$ ₹44,000 AMC revenue
- Sales matter, but not enough

Chi-Square Insight:

- Fleet size & churn $\rightarrow$ statistically dependent ($p < 0.05$)
- Strong association ($\text{Chi}^2 = 135+$)
- Fleet size is a **reliable predictor of churn**

Revenue Risk

- **Excavator:**
 - Highest AMC revenue (₹6.88 Cr)
 - Highest risk (₹0.80 Cr)
- **Backhoe Loader:**
 - High volume + low conversion



Business Recommendations



1. Improve AMC at Point of Sale:

- Bundle AMC for:
 - Backhoe Loader
 - Compactor
 - Skid Steer
- Shift dealer incentives → **AMC conversion %**

2. Target High-Risk Small Fleet Customers:

- Early engagement (0–6 months)
- Renewal nudges + service support

3. Fix Dealer-Level Performance:

- Introduce **minimum AMC benchmarks**
- Track and act on **low performers (30% approx.)**

4. Focus on High Impact Categories:

- Excavator → high revenue + high risk
- Backhoe Loader → high volume + low conversion

5. Strengthen Post-Sale Strategy:

- Renewal campaigns
- Service reminders
- AMC awareness



Dashboard 1 : Sales Overview



SALES OVERVIEW (AS ON 31st MARCH)



ATLAS
HEAVY MACHINERY

State

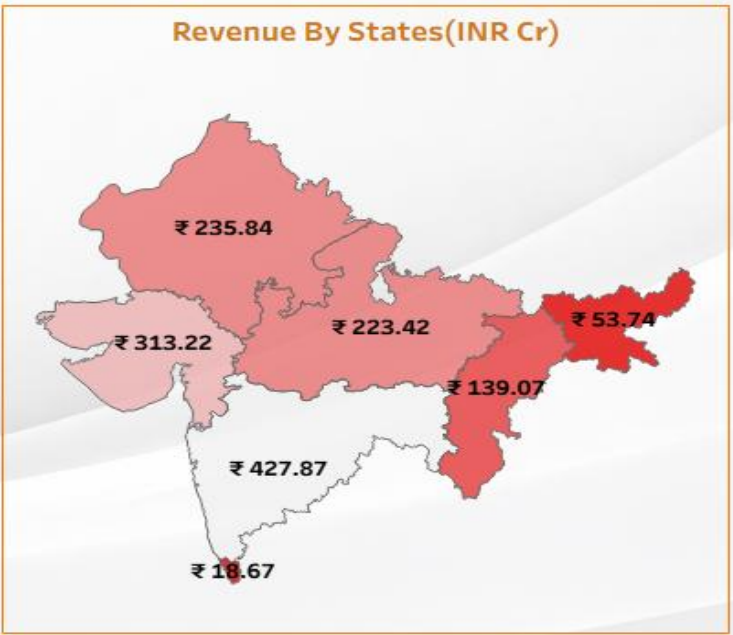
(All)

Sales Revenue (INR Cr)	Total Units Sold	Active Dealers	Finance Penetration
₹ 1,411.82	4,000	150	62.25%

Quarterly Sales Trend (INR Cr)



Quarter	Sales Revenue (INR Cr)
2023 Q2	₹184.88
2023 Q3	₹262.81
2023 Q4	₹504.56
2024 Q1	₹459.57



Dashboard 2 : AMC Performance & Churn Risk



AMC PERFORMANCE & CHURN RISK

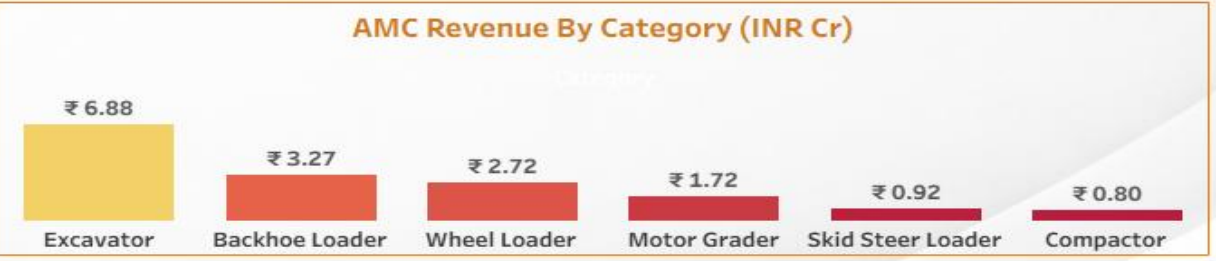
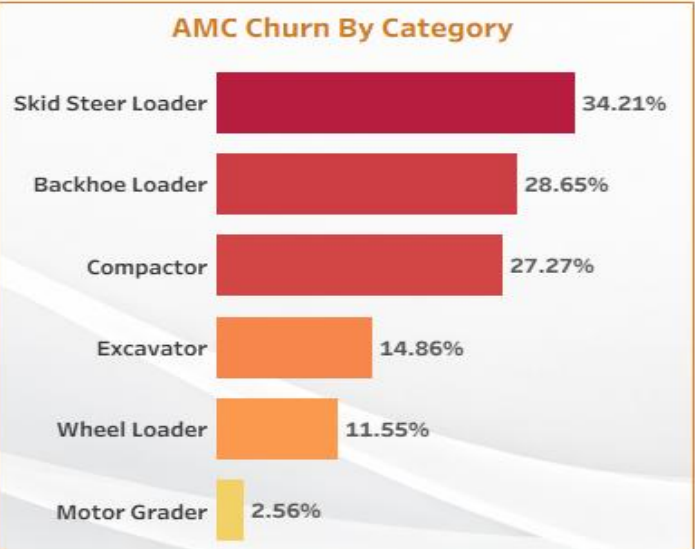
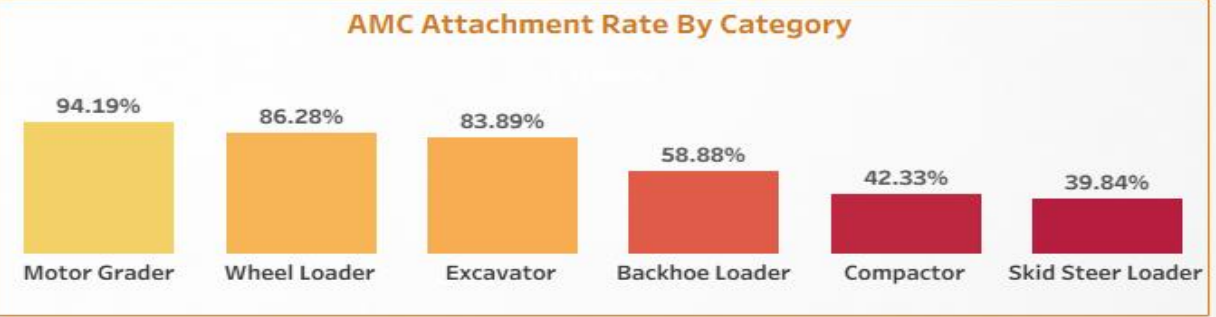
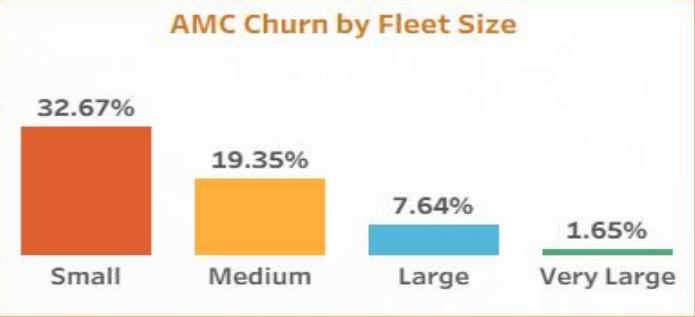
AMC Attachment Rate%	Renewal Rate %	Overall Churn	Average AMC Value
62.90%	79.08%	20.92%	₹ 64,843

State

(All)

Lowest AMC Conversion By Dealers

Dealer Name	
Tripathi Machinery Pvt Ltd	32.00%
Khanna Infra Machines	28.57%
Verma Construction Equipment	0.00%
Tiwari Machinery Works	0.00%
Sharma Equipment Solutions	0.00%
Sagar Heavy Machines	0.00%
Nair Machinery Works	0.00%
Mehta Earthmovers	0.00%
Chavan Power Equipment	0.00%
Arora Machinery Pvt Ltd	0.00%



Thank You

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